Project Alder | IT due diligence red flags

SIMULATED • SYNTHETIC DATA • WORKED EXAMPLE | Separate target-side diligence case

Scope and method

Review of application/product health, infrastructure/cloud, cyber/resilience, data, vendor contracts, IT organization, and IT cost trajectory using supplied synthetic domain and finding rows.
Complexity proxy: 2.2 / 5. Reuses App_Disposition complexity method; not an Alder inventory score.

Headline rating by domain

Domain	RAG	Finding
Applications and product health	Amber	Core product carries unsupported components and undocumented interfaces while remediation is not yet costed
Infrastructure and cloud	Red	Aging on-prem estate has no validated cloud exit plan and carries material dual-running exposure
Cyber and resilience	Red	Disaster recovery testing excludes the main customer platform and privileged access controls are inconsistent
Data	Amber	Customer and product data are duplicated across platforms with limited lineage and uneven retention controls
Vendors and contracts	Amber	Supplier concentration and near-term auto-renewals limit negotiating leverage
IT organisation	Amber	Several critical roles are single-person dependencies and contractor coverage is high across a 600-person business
IT cost trajectory	Green	Run cost is stable at about GBP 6m a year and broadly consistent with the size of the estate

Top five red flags

Finding	Why it matters	Value-at-risk GBP	Action
Cyber and resilience: DR restore testing has excluded the main customer platform for 18 months and privileged access is shared across 14 administrator accounts	A prolonged outage or breach could trigger customer credits and indemnity claims while insurance cover may not respond	700,000 – 1,400,000	SPA protection
Infrastructure and cloud: 38 percent of production workloads sit on end-of-support infrastructure with no validated cloud exit plan and 14 months of forecast dual-running	Remediation and dual-running could add cost and delay the synergy case against a GBP 150m enterprise value	1,200,000 – 2,200,000	price adjustment
Applications and product health: the core product has 11 unsupported components and two undocumented interfaces while 28 percent of engineering capacity is consumed by defect remediation	Remediation competes with roadmap delivery and could delay revenue and integration milestones	600,000 – 1,200,000	100-day action
Vendors and contracts: the top three vendors account for 54 percent of run cost and two contracts auto-renew within nine months with above-market uplifts	Limited leverage and automatic renewals lock in cost leakage after completion	500,000 – 1,000,000	price adjustment
Data: customer and product data are duplicated across three platforms with no enterprise lineage and inconsistent retention controls	Migration complexity and privacy exposure could require remediation before product and analytics integration	400,000 – 900,000	100-day action

Questions for management

Q1 What evidence supports the current disaster recovery coverage and privileged access model and which remediation is committed before completion? **Q2** Which production workloads remain on end-of-support infrastructure and what validated cloud exit plan and dual-running cost have been approved? **Q3** How much engineering capacity is consumed by defect remediation and which roadmap commitments depend on the undocumented interfaces?

Limitations

Simulated, synthetic worked example. Findings and value ranges are illustrative, do not represent a real transaction, and require evidence validation. The source CSV provides no Alder application inventory; the complexity figure is explicitly a re-used portfolio proxy.
Synthetic findings and value ranges are illustrative and require evidence validation. No real deal or achieved outcome is represented.